New and Old Issue Market

Further, based on the nature of issue (in layman's language issue means selling), the securities market can be classified as New issue market and Old issue market. The New issue market is also known as Primary market. The Old issue market also known as Secondary market.

In New issue market, the securities issued by the issuer are purchased by investors that are public. To put in another way, sale and purchase of new (fresh/ first time issued) securities is carried out. In old issue market the sale and purchase of securities that were already issued in the New issue market is carried out. In India, both New issue and Old issue markets are regulated by Securities and Exchange Board of India (SEBI).

Securities and Exchange Board of India (SEBI)

It was established in 1988 for the development and regulation of securities market through a resolution of government. It was given statutory status in 1992. Its head office is in Mumbai and regional offices are in Kolkata, Delhi and Chennai.

New Issue Market

The issue of securities in new issue market can be classified as shown in figure 8.2 below.

Figure 8.2